

## 1 OBJECTIVE

The objective is to deliver a user-friendly and interactive mobile application that:

- i. Provides seamless voice and text-based interaction with the AI Agent.
- ii. Offers knowledgebase access and contribution functionality.
- iii. Ensures secure and responsive performance across Android and iOS platforms.
- iv. Incorporates scalable features for future enhancements.

## 2 SOW

The software will address the following key phases:

1. **Planning Phase:** Enables audit universe definition, risk assessment, scheduling, and audit program preparation.
2. **Fieldwork/Execution Phase:** Facilitates task management, evidence collection, and progress tracking.
3. **Reporting Phase:** Streamlines report drafting, approval, and secure distribution.
4. **Follow-Up and Monitoring Phase:** Manages corrective actions, tracks resolutions, and ensures audit closure.
5. **Continuous Improvement Phase:** Collects feedback and updates methodologies based on lessons learned.

## 3 TECHNICAL SPECIFICATIONS

### 3.1 Planning Phase

#### 3.1.1 Features:

- **Universe Management:** Central repository for defining and maintaining the audit universe, mapping entities to understand processes, associated risks, and dependencies.
  - Examples of entities: Departments (Finance, HR, IT), Locations, Projects, and Systems.
  - Include risk categories like operational risks, compliance risks, and financial risks.
- **Audit Planning Tools:** Risk-based prioritization of annual and entity-specific audit plans.
- **Risk Assessment Tools:** Evaluate and rank risks using qualitative and quantitative methods.
- **Templates and Checklists:** Customizable templates for audit programs and checklists to ensure completeness.
- **Scheduling Tools:** Integrated calendar with automated reminders for task deadlines and resource allocation.

#### 3.1.2 How It Works:

1. Define the audit universe by identifying all organizational entities and processes.
2. Link each entity to associated risks and their mitigation plans.
3. Prioritize audits based on risk scores and strategic importance.
4. Assign auditors and schedule tasks using integrated planning tools.

#### 3.1.3 Dependencies:

- Access to historical audit reports and risk assessments.
- Organizational structure and risk documentation.

### 3.2 Fieldwork/Execution Phase

#### 3.2.1 Features:

- **Task Assignment:** Assign specific tasks to team members, track status, and provide real-time updates.
- **Evidence Collection:** Enable evidence uploads in formats such as PDFs, spreadsheets, images, and videos.
- **Working Papers:** Maintain organized, version-controlled records of audit findings and related analyses.
  - Metadata tagging for easier retrieval and linking of documents.
- **Testing Tools:** Automated tools for performing control and substantive tests.

#### 3.2.2 How It Works:

1. Assign tasks to audit team members with detailed instructions and deadlines.
2. Conduct substantive and control tests to evaluate internal controls and processes.
3. Upload and tag evidence to working papers and link findings to relevant sections.
4. Collaborate with stakeholders for data validation and issue resolution.

#### 3.2.3 Dependencies:

- Access to auditee systems and data repositories.
- A secure platform for file uploads and sharing.

### 3.3 Reporting Phase

#### 3.3.1 Features:

- **Report Drafting:** Predefined templates to create detailed and standardized reports.
- **Role-Based Permissions:** Secure access for drafting, reviewing, and approving reports.
- **Dynamic Reporting:** Generate interactive reports with visual charts, risk heat maps, and links to evidence.

#### 3.3.2 How It Works:

1. Draft reports using templates with clear sections for findings, recommendations, and management responses.
2. Allow management to provide comments and clarifications within the system.
3. Finalize reports with dynamic elements like hyperlinks to evidence and charts.
4. Distribute reports securely via email or a role-based access portal.

#### 3.3.3 Dependencies:

- Approved findings and analysis from the execution phase.
- Secure communication channels for sharing reports.

### 3.4 Follow-Up and Monitoring Phase

#### 3.4.1 Features:

- **Corrective Actions Tracking:** Assign action plans for identified issues to relevant stakeholders.

- **Real-Time Dashboards:** Monitor progress with visual indicators (e.g., progress bars, status flags).
- **Audit Closure Tools:** Automatically close audits once corrective actions are verified and criteria are met.

#### 3.4.2 How It Works:

1. Assign corrective actions with clear timelines and responsibilities.
2. Use dashboards to track the implementation and resolution of identified issues.
3. Generate closure reports summarizing resolved issues and improvements.

#### 3.4.3 Dependencies:

- Real-time updates from stakeholders responsible for corrective actions.
- Integration with task management systems to ensure timely escalations.

### 3.5 Continuous Improvement Phase

#### 3.5.1 Features:

- **Feedback Mechanisms:** Collect input from stakeholders via customizable surveys.
- **Methodology Updates:** Incorporate feedback to refine audit templates, workflows, and risk models.
- **Historical Tracking:** Maintain a record of methodology changes for transparency and learning.

#### 3.5.2 How It Works:

1. Distribute post-audit surveys to stakeholders to gather feedback.
2. Analyze feedback to identify areas of improvement in audit methodologies.
3. Update audit templates and workflows while maintaining historical logs.

#### 3.5.3 Dependencies:

- Active participation from stakeholders in providing feedback.
- Analytical tools to process survey data and identify trends.

## 4 AUDIT UNIVERSE

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#### 5.1 What is Included in the Audit Universe

The audit universe encompasses:

- **Business Processes:** Financial reporting, procurement, compliance, and operational workflows.
- **Organizational Entities:** Departments, branches, and functional units, with defined roles:
  - **Finance Department:** Handles financial transactions, budgeting, and reporting. Ensures compliance with accounting standards and financial policies.
  - **HR Department:** Manages recruitment, payroll, employee relations, and compliance with labor laws.
  - **IT Department:** Oversees infrastructure, system security, data management, and supports business applications.
  - **Operations Department:** Executes day-to-day organizational processes, ensuring efficiency and quality.
  - **Compliance Department:** Ensures adherence to legal and regulatory requirements.
- **IT Systems:** ERP platforms, databases, and operational software.

- **Projects:** Major initiatives, new system implementations, and high-risk activities.
- **Regulatory Requirements:** Compliance obligations under local and international laws.
- **Risks:** Categories such as strategic, operational, financial, compliance, and reputational risks.

#### 5.1.1 How It Works

1. Map all organizational components into the audit universe.
2. Assign risk ratings to each component based on impact and likelihood.
3. Regularly update the universe to reflect changes in the business environment.

## 6 STAKEHOLDERS AND INTERACTIONS

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#### 7.1 Stakeholders

##### 7.1.1 Audit Team:

- Internal auditors responsible for planning, conducting, and documenting audits.
- Use the system to manage tasks, collect evidence, and track progress.

##### 7.1.2 Management:

- Approves audit plans, reviews findings, and provides feedback.
- Utilizes dashboards and reports for decision-making.

##### 7.1.3 Auditees:

- Provide required data and clarifications during audits.
- Use the system to respond to queries and track corrective actions.

##### 7.1.4 IT and System Administrators:

- Manage role-based access, system configurations, and integrations.
- Ensure data security and system uptime.

##### 7.1.5 External Stakeholders (if applicable):

- Regulatory bodies or third-party auditors who may review reports or provide guidelines.

## 8 HOW STAKEHOLDERS INTERACT

#### 8.1 Planning Phase:

- The audit team collaborates with management to define the audit scope and priorities.
- Auditees provide input on processes and risks for universe management.

#### 8.2 Fieldwork/Execution Phase:

- Auditors assign tasks and communicate directly with auditees to gather evidence.
- Management monitors progress through real-time dashboards.

#### 8.3 Reporting Phase:

- The audit team drafts reports and shares them with management for review.
- Management provides responses or clarifications to finalize reports.

#### 8.4 Follow-Up and Monitoring Phase:

- Corrective actions are assigned to auditees, who update their status within the system.

- The audit team tracks progress and escalates overdue actions to management.

#### 8.5 Continuous Improvement Phase:

- Feedback is collected from all stakeholders to improve processes.
- IT administrators implement necessary updates to templates and workflows.

## 9 GENERAL REQUIREMENTS

- **Security:** Role-based access and encryption for data storage and transmission.
- **Scalability:** Support for increasing audits and users.
- **Dashboards and Analytics:** Real-time KPI monitoring and trend visualizations.
- **Deployment Options:** Cloud-based for remote access and scalability.

## 10 TECHNICAL REQUIREMENTS

### 10.1 Technology Stack:

- Backend: .NET Core / Laravel
- Frontend: React.js / Flutter
- Database: SQL Server
- Cloud: Client Specified
- **Integration:** API integrations with email, BI tools, and third-party systems.
- **Standards:** Compliance with GDPR and ISO 27001 for data security.